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ABSA Kenya HY'24 Earnings Note

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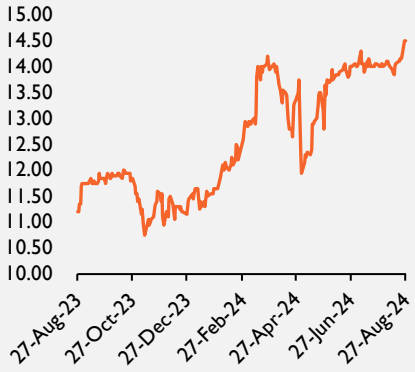


ABSA Bank HY'24 Earnings Note

August 28th , 2024

Ticker Information	
NSE Code:	ABSA
Issued Shares (Bn):	5.43
52-week high:	KES 14.50
52-week low:	KES 10.75

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	3.2%	10.3%	15.5%	29.5%

Source: NSE, AIB-AXYS Research

Analysts

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Recommendation	Current Price	Target Price
BUY	**KES 14.50**	**KES 16.75**

Summary

- **ABSA Bank surpassed in-house expectations to post a remarkable 28.9% y/y growth in net earnings to KES 10.71Bn over the first half of 2024.** The expansion in revenue was driven by strong performance across wholesale and consumer banking. Net interest margins widened 180bps y/y to 10.8% on account of higher yields on interest-earning assets. The trailing return on equity contracted slightly by 20bps y/y to 27.5% while the trailing return on assets increased 30bps y/y to 3.8%.
- **The Board of Directors recommend an Interim Dividend of KES 0.20 per share.** The dividend is payable on 15th October 2024 to shareholders on register by 20th September 2024.

Key Highlights

- **Resilient Core Banking Performance:** Net Interest Income surged 19.7% y/y to KES 23.00Bn propelled by loan uprising under the risk-based pricing regime. Non-funded income expanded 8.4% y/y to KES 8.83Bn. This shifted the funding mix to 72:28 in favor of net interest income. Operating income surged 16.3% y/y to KES 31.83Bn. The average yield on interest earning assets paced up 360bps y/y to 15.6%, reflecting higher reinvestment returns. Cost of funds expanded 180bps y/y to 4.8% attributable to the prevailing high interest-rate environment. Consequently, net interest margin widened 180bps y/y to 10.8%.
- **Deteriorating Asset Quality:** Gross Non-Performing Loans (NPLs) increased by 26.4% y/y to KES 39.40Bn – driving a 200bps y/y increase in the total NPL ratio to 11.5%. Concurrently, NPL coverage declined by 160bps y/y to 67.7%. Management amplified credit impairment provisioning marginally by 30bps y/y to KES 5.17Bn demonstrating a cautious and prudent approach amidst the prevailing macroeconomic uncertainty.

Balance Sheet Dynamics

Customer deposits grew 6.2% y/y to KES 353.34Bn driven by strategic efforts to mobilize deposits and secure lower cost funding. The loan book marginally contracted by 0.5% y/y to KES 316.37Bn. In a strategic move to capitalize on favorable margins in customer assets and to preserve liquidity, management reduced the allocation to government securities by 21.0% y/y to KES 63.75Bn reflecting a cautious stance given the heightened sovereign credit risk.

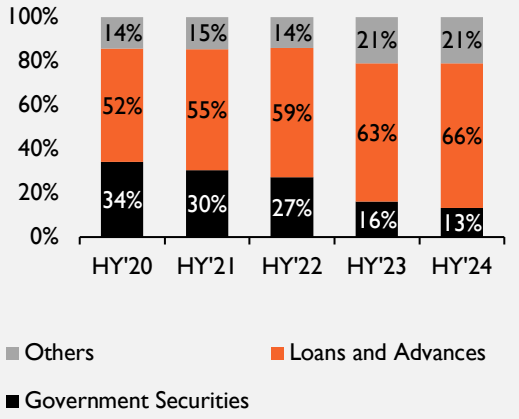
Enhanced Efficiency

Operating efficiency improved as evidenced by the cost-to-income ratio (excluding loan loss provisions) declining by 130bps y/y to 35.8%. The improvement was driven by a robust 16.3% y/y increase in operating income outpacing the 12.3% y/y increase in pre-provision operating expenses. The increase in expenses was primarily attributed to infrastructure modernization and personnel expansion.

Outlook

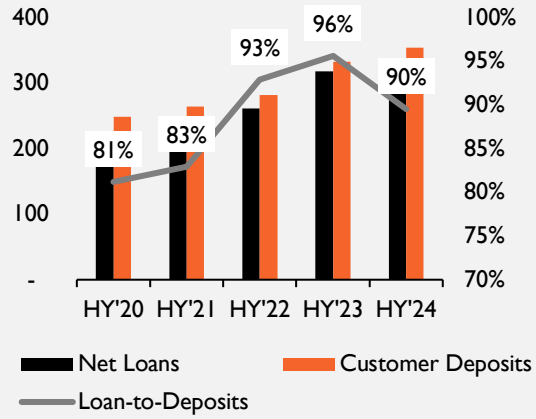
We anticipate that the lender's long-term growth will be driven by dual expansion in affluent banking and mass retail segments, underpinned by cost-effective deposit mobilization through enhanced end-to-end digital banking solutions. We expect subsidiary divisions, including asset management and insurance, to remain key growth drivers, contributing to the bank's sustained long-term value. We also foresee loan book expansion being supported by the lender's ongoing emphasis on digital lending initiatives through Timiza.

Chart 2: Shift in Asset Composition



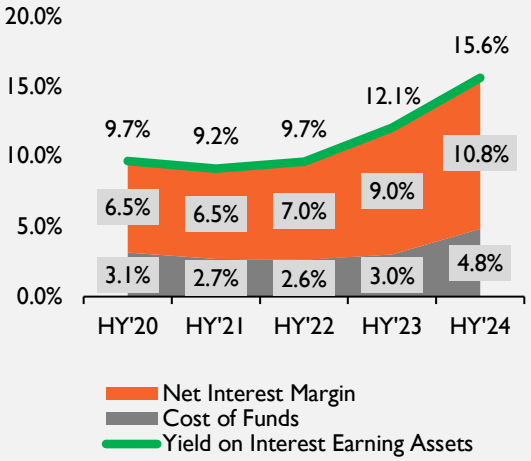
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Widening Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Recommendation

- **We maintain our *BUY* recommendation on ABSA Bank Kenya on account of strong return on equity momentum and promising revenue growth prospects.** At the current market price, the stock is trading at P/E ratio of 3.7x and a P/B ratio of 1.1x. Our one-year target price for ABSA currently stands at KES 16.75- representing a c.15.5% upside potential from current levels.

Income Statement (KES Bn)	HY'20	HY'21	HY'22	HY'23	HY'24	y/y % Change
Net Interest Income	11.30	12.00	14.43	19.22	23.00	▲ 19.7%
Net non-Interest Income	5.51	5.85	6.48	8.14	8.83	▲ 8.4%
Total Operating income	16.81	17.84	20.91	27.36	31.83	▲ 16.3%
Provision for Impairment	(5.38)	(1.94)	(2.96)	(5.16)	(5.17)	▲ 0.3%
Total Operating expenses	(13.55)	(9.89)	(11.79)	(15.29)	(16.56)	▲ 8.3%
Profit before tax	1.59	7.95	9.11	12.07	15.27	▲ 26.5%
Profit after tax	0.59	5.57	6.29	8.31	10.71	▲ 28.9%
Annualized EPS	0.22	2.05	2.32	3.06	3.94	▲ 28.9%
DPS	-	-	0.20	0.20	0.20	-

Balance Sheet (KES Bn)	HY'20	HY'21	HY'22	HY'23	HY'24	y/y % Change
Government Securities	133.87	121.27	120.76	80.73	63.75	▼ (21.0%)
Loans and Advances	201.95	218.87	261.54	317.95	316.37	▼ (0.5%)
Total Assets	391.88	398.15	445.29	503.74	481.42	▼ (4.4%)
Customer Deposits	248.75	263.94	281.67	332.60	353.34	▲ 6.2%
Total Liabilities	348.89	346.18	389.05	440.00	408.40	▼ (7.2%)
Shareholder's Funds	42.99	51.97	56.24	63.74	73.03	▲ 14.6%

Ratio Analysis	HY'20	HY'21	HY'22	HY'23	HY'24	y/y % Change
Spreads Analysis						
Yield on Assets	9.7%	9.2%	9.7%	12.1%	15.6%	▲ 3.6%
Cost of Funds	3.1%	2.7%	2.6%	3.0%	4.8%	▲ 1.8%
Net Interest Margin	6.5%	6.5%	7.0%	9.0%	10.8%	▲ 1.8%
ROaE	9.8%	19.3%	21.4%	27.7%	27.5%	▼ (0.2%)
ROaA	1.1%	2.3%	2.7%	3.5%	3.8%	▲ 0.3%
Profit Margin	3.5%	31.2%	30.1%	30.4%	33.6%	▲ 3.3%
Operating Efficiency						
Cost to Income Less LLP	48.6%	44.6%	42.3%	37.0%	35.8%	▼ (1.3%)
Cost to Assets Less LLP	2.2%	2.0%	2.1%	2.1%	2.3%	▲ 0.2%
Loan to Deposit Ratio	81.2%	82.9%	92.9%	95.6%	89.5%	▼ (6.1%)
Asset Quality						
Total NPL Ratio	8.0%	7.9%	7.1%	9.5%	11.5%	▲ 2.0%
NPL Coverage	63.6%	70.9%	78.5%	69.4%	67.7%	▼ (1.6%)
Cost of Risk	2.7%	0.9%	1.1%	1.6%	1.6%	▲ 0.0%
Capital Adequacy						
Core Capital/TRWA	13.8%	14.7%	14.0%	13.5%	14.8%	▲ 1.3%
Total Capital /TRWA	16.7%	17.3%	16.4%	17.7%	18.6%	▲ 0.9%
Liquidity	39.1%	38.3%	30.3%	28.7%	35.2%	▲ 6.5%



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